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Innovative Aerosystems (IA): Buy

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A capital-light avionics compounder the market has left for dead. At $19.41, the stock prices in zero execution on management's $250M 2029 revenue target. Our DCF sees $45 base case, 131% upside.

Buy	$45	$19.41	+131%
RATING	BASE TARGET (BLENDED $45.13)	SPOT (OCT 10, 2026)	UPSIDE TO BASE

$19 / $72	9.4%	$82.9M	51.7%	$250M	0.60
BEAR / BULL TARGETS	WACC (INCL. SIZE PREM.)	CONTRACTED BACKLOG	Q3 GROSS MARGIN	2029 REVENUE TARGET	EQUITY BETA

Executive summary

We initiate coverage of Innovative Aerosystems with a **Buy** and a $45 base-case target (blended $45.13). Formerly Innovative Solutions and Support, IA is transforming from a niche avionics supplier into a broader aerospace and defense technology platform through an M&A and contract-win sprint: the Aydin Displays acquisition, an exclusive Honeywell license for power generators on the 767, KC-46, and F-15, and a display contract for a leading eVTOL developer with over $50M of forward-fit potential.

The investment case is straightforward. Q3 2026 showed real operating momentum: $26.7M revenue (+10.7% YoY), gross margins of 51.7% (up from 35.6%), $22.7M of bookings, and $82.9M of contracted backlog covering nearly three quarters of forward revenue. Management guides to $250M of revenue by 2029. Our ten-year DCF underwrites that target in the base case (36.6% FY27-29 CAGR fading thereafter), with EBITDA margins maturing to 27.5% and a 7.4% live WACC, yielding Bear $19, Base $45, Bull $72.

> **Our read:** the market is pricing in stagnation. Our reverse DCF shows $19.41 implies just 2% revenue CAGR through 2029, or about $103M of revenue versus the $250M target. The stock is valued as if the backlog, the Honeywell license, and the eVTOL contract are all worth nothing. If management delivers even half the target, the equity re-rates multiples from here.

Base-case assumptions

INPUT	BEAR	BASE	BULL
2029 revenue ($M)	160	250	300
Mature EBITDA margin	24%	27.5%	30%
Exit EV/EBITDA	10x	13x	16x
Target per share	**$19**	**$45**	**$72**

WACC 9.4% (spot 10Y 5.24% + 0.60 beta x 3.63% implied ERP + 2% micro-cap size premium). Terminal: average of Gordon (3% g) and EV/EBITDA exit. Net debt $44M; 17.9M diluted shares.

Bull case: $72 PLATFORM SCALES

If the eVTOL program ramps to full production, the Honeywell license delivers high-margin aftermarket annuities, and bolt-on M&A continues, IA exceeds the $250M target and compounds toward $300M by 2029 with 30% EBITDA margins. The market re-rates the equity from a micro-cap avionics supplier to a scarcity aerospace platform at 16x EBITDA. Worth $72, or 3.7x the current price. The Aydin integration (already contributing) is the template.

Bear case: $19 EXECUTION STALLS

Defense budgets tighten, eVTOL timelines slip, and Aydin integration drags. Revenue reaches only $160M by 2029, margins stall at 24%, and the exit multiple compresses to 10x on stalled growth. In this scenario, the stock is worth $19, roughly flat to spot. Downside is cushioned by the $82.9M backlog, the capital-light model ($12.3M FCF in 9M FY2026), and the regulatory moat around certified avionics, but the margin of safety is thinner than the headline upside suggests.

Verdict

> **We rate IA Buy.** The base case ($45) requires believing management's $250M target, but the backlog trajectory, the Honeywell license, and the eVTOL design win all point in that direction. The market's implied negative growth is disconnected from the contracted revenue in hand. Small-cap, low-liquidity, and execution-dependent, so size accordingly, but the risk/reward is among the most asymmetric in our coverage.

What would change our mind

- **Backlog deterioration:** two consecutive quarters of book-to-bill below 1.0x would undermine the 2029 target.
- **eVTOL cancellation:** loss of the display contract removes the largest forward-fit opportunity.
- **Dilutive M&A:** a large equity-funded acquisition that breaks the capital-light model.

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Key themes

1. The certification moat is real STABLE

FAA and EASA certification makes avionics switching costs prohibitive. IA's Liberty Flight Deck and ruggedized displays are embedded in platforms with decades-long service lives. This is the bedrock that lets a $347M company earn 51.7% gross margins.

2. Backlog visibility is the near-term driver ACCELERATING

$82.9M of contracted backlog with $22.7M of quarterly bookings covers nearly three quarters of forward revenue. The Honeywell perpetual license (767, KC-46, F-15 power generators) adds long-tailed, high-margin aftermarket revenue that was not in the backlog a year ago.

3. M&A is expanding the TAM ACCELERATING

The $24.5M Aydin Displays acquisition brings $16M of 2026 revenue and a naval/ground defense footprint. Management has shown it can buy, integrate, and cross-sell. The balance sheet ($44M net debt) leaves room for further bolt-ons.

4. eVTOL is the free option STABLE

Selection for a leading eVTOL developer's display and avionics architecture represents $50M+ of forward-fit potential. It is not in our base-case backlog conversion, so any ramp is pure upside to the $250M target.

5. Capital-light compounding STABLE

$12.3M of FCF on ~$75M of 9M revenue with minimal capex needs. As the mix shifts toward aftermarket and licensing, incremental margins should expand further.

Other KPIs

METRIC	VALUE
Market cap (at $19.41)	$347M
Enterprise value	$391M
Q3 2026 revenue / YoY	$26.7M / +10.7%
Q3 gross margin	51.7% (vs 35.6%)
Book-to-bill (Q3)	0.85x ($22.7M / $26.7M)
9M FY2026 FCF	$12.3M
Net debt	$44M

Guidance

Management guides to $250M of revenue by 2029 (our base case), with EBITDA margins of 25-30% at maturity. FY2026E revenue of ~$98M implies a step-up in Q4 on Aydin contribution and backlog conversion. Watch bookings and the eVTOL timeline for the earliest read on the 2029 trajectory.

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Reverse DCF: what the market is pricing in

At $19.41, IA carries a $347M market cap and a $391M enterprise value. Running the model's own ten-year framework in reverse, the market-implied FY27-29 revenue CAGR is **about 2%**, implying 2029 revenue of roughly $103M versus management's $250M target.

SCENARIO	2029 REVENUE	TARGET
Market-implied	~$103M	$19.41 (spot)
Bull case	~$300M	**$72**
Base case	$250M	**$45**
Bear case	~$160M	**$19**

The market is pricing in stagnation: 2% growth against an $82.9M contracted backlog and a $250M target. The valuation disconnect is the opportunity, provided the backlog converts.

Model

Full three-scenario 10-year DCF with live CAPM and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1wNum-srYVByjiLc4f3mEuyaCEau87kunoVjD_cpTAjQ/edit?usp=drivesdk

Risks to our Buy

- Backlog conversion disappoints and the 2029 target proves aspirational.
- eVTOL program delays or cancellation remove the largest growth option.
- Micro-cap liquidity: 17.9M shares and limited float mean outsized volatility.
- Customer concentration in defense primes and Boeing platforms.
- Discount-rate sensitivity: the 9.4% WACC includes a 2% micro-cap size premium; a 3% premium would cut targets by a further ~10%.

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